Comments on drafted decree detailing Article 54.3 of the Labor Code on labor dispatching

No.	*Reference*	*Issues*	*Recommendations*
1.	Article 6.3 of Decree 55/2013/ND-CP detailing Article 54.3 of the Labor Code on labor dispatching ("Decree 55") provides: *"A foreign enterprise setting up a joint venture with a domestic enterprise must satisfy the following conditions:* *(a) It must be an enterprise specializing in the business of labor dispatching, with capital and total asset value of at least 10 billion VND;* *(b) It must have at least five (5) years' experience in providing labor dispatching services;* *(c) It must have a certificate from a competent authority in its home country proving that the enterprise and the representative of the capital contribution portion of the enterprise have not breached the law of the home country or the law of the related country.* *The above-mentioned documents must be translated into Vietnamese and certified by a Vietnamese diplomatic representative office or Vietnamese consulate overseas, and they must be consularized in accordance with the law of Vietnam."*	The drafted decree removes the content of Article 6.3 of Decree 55/2013/ND-CP. According to MOLISA's explanation on the draft, the removal of this provision is to make the new decree in line with the provisions of the Enterprise Law and the Investment Law. However, omission of conditions applicable to foreign investor will be a cause for concern: ● Viet Nam does not have any commitments regarding labor dispatching services. If national regulations do not stipulate, it is unclear whether or not the foreign investment to labor dispatching services is permissible. ● Under Article 10.2 (e) of Decree 118/2015/ND-CP guiding the Law on Investment, in such case, the investment registration authorities will consult the MPI and MOLISA for consideration and decision. This will trouble the investor and prolong the administrative procedures.	Request to have clear provision on conditions applicable to foreign investor. Is a foreign investor permitted to invest in this sector? If yes, it should clarify: (i) the conditions that a foreign investor must satisfy; (ii) the cap of shareholding/capital contribution applicable to foreign investor; (iii) whether or not it is required to amend the Labor Dispatch Permit or notify the Department of Labors, Invalids, and Social Affairs ("DOLISA") or MOLISA of the shares/capital contribution acquisition by a foreign investor in an existing labor dispatching enterprise.

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2.	Article 20 of the drafted decree provides: *"1. The duration for labor dispatching shall not exceed 12 months.* *2. On expiry of the duration prescribed in clause 1 above, the labor dispatching enterprise is not permitted to continue to dispatch [subleased] such dispatched employee to the subleasing employer."*	The drafted decree retains the provision of Decree 55 on the maximum labor dispatching period of 12 months. This period is too short and does not match with the actual demand of companies that use dispatched labors.	Request to ~~remove this cap or~~ stipulate a longer period (e.g. 24 months) on highly specialized job. Request to expressly stipulate that upon the limited period, the labor dispatching enterprise may (i) transfer the dispatched labor to work for another subleasing employer, and (ii) dispatch another employee to the same position in the same subleasing employer.
3.	Jobs permissible for labor dispatching are stipulated in Appendix VI of the draft decree, namely: (1) translator – interpreter – stenographer; (2) secretary / administrative assistant; (3) receptionist; (4) tour guide; (5) sales assistant; (6) project assistant; (7) programmer for manufacturing machinery systems; (8) technician for manufacture or installation of television or telecom equipment; (9) technician for operating, testing or repairing construction machinery and equipment or for manufacturing electrical systems; (10) cleaning worker for buildings and factories; (11) data editor; (12) security guard / bodyguard; (13) telemarketer / customer service worker via telephone; (14) processor of financial or tax issues;	The drafted decree retains the list of permissible jobs of Decree 55. This list is not sufficient to cover the jobs that, in practice, are highly demanded.	Request to supplement other jobs that are highly demanded by the enterprises in practice. For example, workers in manufactures in general (not only for the jobs in the permissible list).

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	(15) technician for repairing or testing automobiles; (16) industrial technical scanner or drawer [artist], interior designer; and (17) driver. Article 19.3 of draft decree provides: *"The Ministry of Labor, War Invalids and Social Affairs shall lead and coordinate with concerned agencies in reviewing and submitting to the Prime Minister the amendments and supplements to the list [of permissible jobs] in Appendix VI of this Decree."*	Article 19.3 does not mention to the maximum period after that MOLISA must review the list. It has been 5 years from the issuance, the list of permissible jobs is unchanged regardless of the actual demands of labors using enterprises.	Request to impose a maximum period (e.g. 5 years) after that MOLISA must review the list of permissible jobs.
4.	Provision of labor dispatching service to offshore client	Draft decree does not have any provision on the possibility that a labor dispatching enterprise may dispatch labors to carry out certain jobs in Vietnam for an offshore company (which has no presence in Vietnam). For example, in order to set up an investment project in Vietnam, an offshore company will need to hire some labors from a labor dispatching enterprise to support the process of project preparation in Vietnam.	Request to clarify that a labor dispatching enterprise may provide labor dispatching service to an offshore client to dispatch labors to carry out jobs in Vietnam. The dispatched labors will work in Vietnam for the work that such offshore client is permitted to do in Vietnam (e.g. preparation work to set up a project or establish a representative office).
6.	Article 5 of the draft decree provides: *"The head of the enterprise is the owner of the enterprise in case of a private enterprise, the owner of the company or the authorized representative of the company owner in the case of limited*	Under this Article, the head of a labor dispatching enterprise must be its owner/shareholder or the authorized representative of the owner/shareholder. This provision will restrict the labor dispatching enterprise from hiring a head that is not an	Request to remove the first paragraph of this Article on owner and owner's authorized representative.

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	liability company of one member, the authorized representative of a member in the case of a limited liability company of more than one member; A shareholder or authorized representative of a shareholder, in the case of a joint stock company, partners in the case of a partnership must satisfy the following conditions: *1. Being the legal representative [whose name is] recorded in the Enterprise Registration Certificate;* *2. Having clear profile; [...];* *3. Having worked in the labor dispatching sector for at least 3 years."*	owner or owner's authorized representative. Meanwhile, the Law on Enterprises does not require that the legal representative of an enterprise must be its owner or owner's authorized representative.	
7.	Article 10.7 on documents evidencing the experience of the head of labor dispatching enterprise.	In addition to labor contract/confirmation letter issued by the previous employer to prove that the head has experience in labor dispatching sector, Article 10.7(b) and (c) require to submit: - confirmation letter issued by the social insurance agency on the period of social insurance payment; - labor dispatching contract of the enterprise where the head worked. It is difficult to understand the purpose of such requirements. How can the head provide a labor dispatching contract of his/her previous employer if that contract has a confidential clause or the head signed a non-disclosure agreement with the previous employer?	Request to (i) remove the requirement on submission of labor dispatching contract; and (ii) remove or allow to replace the confirmation letter issued by a social insurance agency by another document in the case the head did not participate in social insurance (e.g. bank record on salary payment).